REPORTABLE (62)

TAURAI MHANGE ESTATE AND 42 OTHERS
v
AFRICAN SUN (PRIVATE) LIMITED

SUPREME COURT OF ZIMBABWE
HARARE: 27 AUGUST 2024 & 11 JULY 2025

M. Gwisai, for the applicants

F.F. Nyamayaro, for the respondent

IN CHAMBERS

CHIWESHE JA:

This is an opposed chamber application for condonation for late noting of an appeal and for extension of time within which to appeal made in terms of r 60(2) as read with r 61 of the Supreme Court Rules, 2018 (the Rules). The applicant intends to appeal against the judgement of the Labour Court (the court *a quo*) handed down on 7 October 2022.

BACKGROUND FACTS

The respondent is a company registered in terms of the Laws of Zimbabwe. The applicants were permanent employees of the respondent. The respondent`s business was severely affected by the emergence of the Covid-19 pandemic which led to the closure of its business. On 24 August 2020 the respondent issued notices of intention to retrench the applicants. Thereafter the respondent terminated the applicants` contracts of employment with effect from 1 September 2020. The applicants challenged the retrenchments before the Labour Officer alleging that the retrenchments were procedurally and substantially unfair. The Labour Officer found that the retrenchments were valid because due process had been followed.

Accordingly, the Labour Officer dismissed the applicants` complaints. An application for confirmation of the Labour Officer`s draft ruling was made in the court *a quo* in terms of s 93(5) (a) and (b) of the Labour Act [*Chapter 28:01*] (the Act). The applicants opposed that application on two grounds as follows:

> "1. The Labour Officer erred at law in ruling that an employer has discretion to consult employees on whether or not to resort to the special measures to avert retrenchment specified under s 12 D (2) (2a) of the Act, whereas the section is peremptory and the temporary measures applied *in casu* were not compliant with the Act.
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> 2. The Labour Officer erred at law in ruling that the employer complied with the requirements of 12 C (1), (2) of the Act whereas this was not so as the employees concerned were not consulted or engaged in negotiations of the proposed retrenchment and retrenchment packages as per the Act."

To the contrary, the respondent argued that the said provisions had been substantially fulfilled. It submitted that the Covid- 19 situation brought its business to a standstill without any indication as to when it would end. Consequently, submitted the respondent, the remedies that were suggested in the provisions were not applicable. It accordingly submitted that in the result, other remedies were suggested, discussed and agreed to by the parties such that the retrenchments bound the applicants.

DECISION OF THE COURT *A QUO*

After considering the applicable provisions of the Act which govern retrenchment, the court *a quo* found that due to the Covid-19 situation, the respondent was faced with circumstances which had not been anticipated by the legislature. It also noted that measures, including those provided for in the Act, were discussed, agreed and implemented by the parties. Further, the court *a quo* found that when the applicants were served with retrenchment notices, none of them made any suggestion as to what other measures should be adopted. It also found that some employees boycotted the final stages of the discussions and others refused to sign

the retrenchment agreement. The court *a quo* also found that the respondent had paid out the minimum packages in terms of s 12 C (2) of the Act.

In addition, the court *a quo* noted that before issuing notices of retrenchment, the respondent had engaged the applicants and discussed its proposal with them giving them ample time to contribute to the process. Both parties had embarked on some measures to avoid retrenchment but without success. In the result, the court *a quo* concluded that the requirements of the law were substantially met. It thus confirmed the Labour Officer's draft ruling.

Aggrieved by the decision of the court *a quo*, the applicants filed an appeal to this Court on 19 April 2023, leave to appeal having been granted by the court *a quo* on 24 March 2023. The appeal was by operation of law deemed to have been abandoned and dismissed for failure by the applicants to serve the notice of appeal on the registrar of the court *a quo*. The applicants subsequently filed an application for condonation for late noting of an appeal and extension of time within which to file an appeal. They did so on 20 May 2024. That application was struck off the roll on 6 June 2024 on account of a fatal defect. It is for that reason that the applicants have again approached this Court with the present application.

PRELIMINARY ISSUES

At the hearing of this application, counsel for the respondent, Ms *Nyamayaro*, raised four preliminary issues, namely:

1. Some of the applicants had not filed supporting affidavits, hence they are not part of the application.
2. Two applicants, Taurai Mhange Estate and Bond Masendu Estate, are deceased estates which must be represented by executors. There being no *locus standi*, the two applicants are not before the court.

3. The tenth applicant`s founding affidavit was deposed to in Polokwane, Republic of South Africa. It was not notarized as required by law and must be expunged from the record. The applicant is therefore not part of the application.
4. Fourth, sixth, ninth, sixteenth, twenty-sixth, thirty-ninth and forty-second applicants` signatures on their founding affidavit are different from their usual signatures. There was need for authentication. The rest of the applicants are properly before the court.

Mr *Gwisai*, for the appellants, argued that the preliminary issues were without merit. He submitted that in general and wherever possible, labour matters should not be decided on technicalities but on the merits. He relied on the decisions in *Mapondera* v *Freda Rebecca* SC 81/22 and *Kandemiri &55 others* v *First Capital* SC 709/23. With regards the non-citation of the executors of the deceased estates, Mr *Gwisai* conceded the irregularity and indicated his intention to apply for amendment of the citation to reflect one Pauline Mapuka, who was appointed executor to both estates as the applicant, respectively, in her official capacity. With regards the affidavit done in Polokwane, Mr *Gwisai* conceded the anomaly but contended that such was not fatal. As to the authenticity of the queried signatures, Mr *Gwisai* argued that the point cannot be resolved in the absence of a handwriting expert. The court should accept the affidavits which ex-face, are properly commissioned.

In reply, Ms *Nyamayaro* abandoned issue number 2 in view of Mr *Gwisai`s* application to amend the citation of the deceased estates by substitution with the executors. He also conceded issue 4 to do with the authenticity of some signatures on the part of some applicants. Accordingly, issues 2 and 4 are hereby dismissed. Thus the only outstanding preliminary points are issues 1 and 3. Issue 1 relates to the non-filing of supporting affidavits by some of the applicants. In the absence of a founding affidavit there cannot be a valid

application for the concerned applicants. The preliminary issue must be upheld. It is so ordered. However, the rest of the applicants are not affected. The application will be heard in respect of those applicants whose papers are in order.

Issue 3 relates to the tenth applicant`s affidavit deposed to in South Africa but not notarized. The point is upheld and the tenth respondent`s application is struck off the roll.

The application by Mr *Gwisai* to amend the citation of the deceased estates by substitution of the respective executors be and is hereby granted.

The application must now be determined on the merits.

THE LAW

In considering an application of this nature the court must take into account the following factors:

(1) The extent of the delay in complying with the infringed rule.

(2) The reasonableness of the explanation for the delay.

(3) Whether the applicant has reasonable prospects of success in the intended appeal.

These factors are not exhaustive and must be considered cumulatively. See *Kombayi* v *Berkout* 1988 (1) ZLR 53 (S).

THE EXTENT OF THE DELAY AND THE REASONABLENESS OF THE EXPLANATION FOR THE DELAY

Leave to appeal was granted by the court *a quo* on 24 March 2023. In terms of r 60 (2) of the Supreme Court Rules, 2018 the appeal should have been filed within 15 days from that date, that is by 14 April 2023. However, the present application was filed on 18 July

2024. The appeal was thus out of time by a staggering 15 months. The explanation given for the delay is that applicants initially filed the notice of appeal on 19 April 2023 on the IECMS Systems. However, their legal practitioner did not serve a physical copy of the notice of appeal on the registrar of the court *a quo* since they believed that the court had gone paperless and that under the new digital system, it was not necessary to serve a physical copy on the registrar of the court *a quo*. The applicants also submitted that since the striking off of their appeal, there was a further delay because of the need to obtain affidavits sworn to by a large number of employees in diverse locations.

The respondent submits that the extent of the delay is inordinate and that having served it with a physical copy of the notice of appeal, there was no reason for the applicants` legal practitioners to assume that service on the registrar of the court *a quo* would be different. Further, the Rules explicitly provide for service of a copy of the notice of appeal on the registrar of the court *a quo*. I agree with the respondent's submissions. The explanation for this inordinate delay is not plausible. It is not enough for the applicants to simply allege, in the founding affidavit, that they were in diverse locations without indicating the extent of those locations. Were they in or outside Harare? What mode of communication was used in order to reach them? What were the logistical challenges if any. To the extent that such details have not been availed, the applicants are not being candid with the court.

PROSPECTS OF SUCCESS IN THE INTENDED APPEAL

In their first ground of appeal, the applicants aver that the court *a quo* erred in ruling that s 12 D (2) of the Labour Act was complied with. This ruling was based on an incorrect law, being the old s 12 D (2) thus disregarding the peremptory provisions of the amended section. The amendment was effected under s 6 of Act No 5 of 2015 which inserted subs (2a), (2b), 8 and 9. The applicants submit that the court *a quo* did not consider these amendments

and, accordingly, arrived at an erroneous decision. They further submit that the requirements of s 12 D (2) (2a) are specific. These requirements were not complied with thus rendering the decision of the court *a quo* invalid.

In the second ground of appeal, the applicants aver that the court *a quo* misdirected itself in finding that s 12 C (1) of the Act was complied with when there was no evidence of any consultation with the employees concerned or their representatives. There was also no evidence that the employees had boycotted the last stages of retrenchment. They submit that consultation of the employees concerned on the reasons for retrenchment, the criterion for retrenchment and the proposed retrenchment packages are peremptory requirements under s 12 C of the Act. It is accordingly submitted that failure to consult the employees renders the subsequent retrenchment a nullity.

On its part, the respondent submits that the retrenchment process started on 11 August 2020 and that everything had been done to avoid retrenchment. It insists that employees were given an opportunity to air their views on the retrenchment process.

The first ground of appeal criticizes the court *a quo* for failure to observe the amendments made in terms of s 6 of the Amendment Act. The amended provisions were however irrelevant to the proceedings before the court *a quo*.

Section 6 provides:

> "By the insertion after subs (2) of the following subsections:
> '(2a) If no agreement is reached in terms of subs (2), an employer shall give written notice of his or her proposed measures to avoid retrenchment and of the opposing proposals, if any, to –
> (a) the employment council established for the undertaking or industry; or
> (b) the Retrenchment Board, if there is no employment council for the undertaking concerned.'"

The applicants do not show how these amendments would have affected the court *a quo*'s reasoning. The court *a quo* made a factual finding that the retrenchment process was adhered to. The applicants must attack that finding by indicating the requirements that were not met by the respondent. The court *a quo* also found, as a matter of fact, that other remedies were suggested and discussed between the parties with a view to avoid retrenchment. It found that an agreement was reached but this failed to work. Subsection (2a) quoted above would have been applicable had the discussions not yielded an agreement. Only then would the respondent have been obliged to further consult the retrenchment board or the workers' council. For that reason, the appeal court is unlikely to uphold the first ground appeal.

The second ground of appeal is likely to suffer the same fate because it contradicts, in a material way, the applicants' averments in their founding affidavit. Whereas in the founding affidavit the applicants state that most of the employees consented to the proposed measures, the second ground of appeal now tends to dispute the same evidence given in the founding affidavit.

On the whole, the court *a quo* made a finding that there was substantial compliance with the retrenchment process. An appeal court is unlikely to interfere with that factual finding. In *Hama* v *National Railways of Zimbabwe* 1996 (1) ZLR 664 (S), this Court held as follows:

> "The general rule of law as regards irrationality is that an appellate court will not interfere with the decision of a trial court based purely on a finding fact unless it is satisfied that, having regard to the evidence placed before the trial court, the finding complained of is so outrageous in its defiance of logic that no sensible person who had applied his mind to the question to be decided could have arrived at such a conclusion."

Similarly, in *Zimre Property Investments* v *Saintcor* t/a *V. Track* SC 59/16 it was held as follows:

> "The position is now settled that an appellate court will not interfere with the findings of fact made by a trial court unless the court comes to the conclusion that

> the findings are so irrational that no reasonable tribunal, faced with the same facts, would have arrived at such a conclusion. Where there has been no such misdirection, the appeal court will not interfere"

The applicants do not allege irrationally in the manner in which the court *a quo* made its factual findings. The appeal court is unlikely to interfere with the factual findings of the court *a quo*.

DISPOSITION

In my view, the delay of fifteen months in bringing this application is inordinate. No reasonable explanation has been proffered for the delay. In the circumstances, the applicants do not deserve the indulgence of condonation. Further, the applicant's grounds of appeal have no merit. For that reason, there are no reasonable prospects of success in the intended appeal. The application cannot succeed. Costs shall follow the cause.

Accordingly, it is ordered as follows:

"The application be and is hereby dismissed with costs."

Matika, Gwisai & Partners applicant`s legal practitioners.

Nyamayaro, Bakasa Attorneys respondent`s legal practitioners.